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FIN621 notes Prepared by Kamran Haider

Which of the following statements is not consistent with GAAP relating to asset valuation:

- Assets are originally recorded in accounting records at their cost.
- **Subtracting total liabilities from total assets indicate total equity under market conditions.**
- Accountants assumes that such as land, building, office supplies will be used in business operations rather than sold current market price.
- Accountants based the valuation of assets from objective verifiable evidence rather than upon appraisal or personal opinion.

- A transaction caused Rs. 10,000 Decrease in both Total Assets and Total Liabilities. This transaction could have been:
  - Purchase of office equipment for Rs. 10,000 cash.
  - An asset with a cost of Rs. 10,000 destroyed by fire.
  - **Repayment of Rs. 10,000 bank loan.**
  - Collection of Rs. 10,000 from Accounts Receivables.

- Identify one of the following statements that is incorrect as regards net income:
  - Net income is computed in the income statement, appears in the statement of owners' equity and increase owners' equity in the balance sheet.
  - Net income = Revenue – Expenses
  - **Net income is computed in the income statement, appears in the statement of owners' equity and it increases the amount of cash shown in the balance sheet.**
  - Net income can be determined using the account balances appearing in the adjusted trial balance.

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- Which of the following are based upon the realization principle and the matching principle (indicate all correct answers).
  - Adjusting Entries **(Matching Principle)**
  - Closing Entries **(Matching Principle)**
  - Accrual Basis of Accounting
  - Measurement of Net Income under GAAP **(Matching Principle)**

- Which of the following explains the debit and credit rules relating to recording of Revenues and Expenses:
  - Expenses appear on the left side of the balance sheet and are recorded by debits. Revenues appear on the right side of the balance sheet and are recorded by credits.
  - Expenses appear on the left side of the income statement and are recorded by debits. Revenues appear on the right side of the income statement and are recorded by credits.
  - **The effect of revenues and expenses in the owner's equity.**
  - Realization and Matching Principle.

- The entry to recognize Depreciation expenses (indicate all correct answers):
  - **Is an application of Matching Principle. (Correct)**
  - Is a closing entry.
  - Usually includes an offsetting credit either to cash or to Accounts payable.
  - **Is an adjusting entry. (Correct)**

(BOTH OPTION CORRECT)

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- **Indicate all correct answers:**
  - **In the accounting cycle, closing entries are made before adjusting entries. (X)**
  - **Financial Statements may be prepare as soon as adjusted trial balance is completed. (Correct)**
  - **The owner's equity is not up to date until the closing entries have been posted. (Correct)**
  - **Adjusting entries are prepared before financial statements are prepared. (Correct)**

- **When a business is organized as a corporation:**
  - **Stock holders are liable for the debt of the business only in proportion to their percentage ownership in stock. (X)**
  - **Stock holders do not have to pay personal income tax on dividends received because the corporation is subject to income tax on its earnings. (X)**

- **Fluctuations in the market value of outstanding shares of capital stock do not affect the amount of stock holders' equity shown in the balance sheet. (Correct)**
- **Each stock holder has the right to bind the corporation to contracts and to make other managerial decisions. (X)**

- **Moosa Corporation was organized with authorization to issue 100,000 shares of Re. 1 par value common stock. 40,000 were issued to Moosa, the company's founder, but at a price of Rs. 5 per share. No other shares have yet been issued.**
  - **Moosa owns 40% of the stock holders' equity of the corporation. (X)**
  - **The corporation should recognize Rs. 160,000 gain in the issuance of these shares. (X)**
  - **If the balance sheet includes retained earnings of Rs. 50,000, total paid in capital amounts to Rs. 250,000. (X)**
  - **In the balance sheet, additional paid in capital account will have Rs. 160,000 balance, regardless of the profit earned or losses incurred since the organization was organized. (Correct)**

- **The statement of cash flows is designed to assist users in assessing each of the following except:**
  - **The ability of the company to remain solvent. (X)**
  - **In assessing the company's profitability. (Correct)**
  - **Major source of cash receipt during the period. (X)**
  - **The reason why net cash flows from operating activities differ from net income. (X)**

Analysis of Income Statement and Balance Sheet

- **Instrument panels of a business.**
- **Different needs of different users (outside users & internal users) identity of user is important.**
- **Three broad areas: solvency, stability and profitability.**
- **Four techniques of Financial Statements Analysis.**

1. **Rupee and percentage changes: From one year to the next: year-to-year.**
2. **Trend Percentages also called horizontal analysis**
3. **Component Percentages Also called Vertical Analysis**
4. **Analysis by Ratios**

Analysis by Ratios

- **Financial Ratios are like financial temperatures.**

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- Inter-linkages of Income Statement and Balance Sheet items.
- Ratios to be related to some predetermined standard or industry average.

Short-term solvency

Ability to meet current liabilities out of current assets.

Short-Term Solvency Ratios

Current Ratio (Normal Ratio = 2:1)

- Too high ratio may indicate that capital is not being used productively and efficiently Calls for financial reorganization.
- Current ratio measures "general liquidity"

Quick Ratio or Acid-Test Ratio (Normal Ratio = 1:1)

- Inventories and pre-paid expenses are excluded from current assets.
- Only cash, marketable securities and Receivables (called Quick Assets) are considered
- Quick ratio measures "immediate liquidity".

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Working Capital

- Difference of Current Assets and Current Liabilities.
- It depends upon size and nature of business.
- Two companies with same working capital but different current ratios.
- Two companies with same current ratio but different working capital.

Quality of Working Capital

- Liquidity of Inventory
- Inventory Turnover Ratio
- Days required to sell inventory

The higher the rate, the more quickly the company sells its inventory. However, companies selling high markup items e.g. Jewelry Stores.

Liquidity of Receivables

Receivable Turnover Ratio (RTO): Number of times "Receivables" are converted into cash during the year

- **Ideally RTO = Net Credit Sales / Monthly Average of Receivables**

The higher the RTO, the more liquid the company's Receivables

Analysis by Long-Term Creditors

- **Solvency: Ability to meet outside liabilities from total assets.**
- **Indicators:- Long-term Solvency Ratios**

Debt Ratio: Indicates percentage of total assets financed by debt =

$$\frac{\text{Total Outside Liabilities}}{\text{Total assets}}$$

Return on Common Stockholder's equity =

$$\frac{\text{Net income applicable to common stock}}{\text{Common stockholder's equity}} \times 100$$

- **EPS applied to common stock. Preferred shares have fixed dividends**

Price-earning ratio (P/E) = Market Price/Share / Earning/Share

Dividend Yield = Dividend per share x 100 / Market price per share

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- **Dividend Coverage Ratio (Normal Ratio: 5 to 10)**

$$= \frac{\text{Net Income}}{\text{Annual Preferred Dividend}}.$$

Indicators of Profitability

Return on total assets = $\frac{\text{Operating Income}}{\text{Total Assets}}$ x 100

Return on investment (ROI) = $\frac{\text{Operating income}}{\text{Stockholders equity + fixed liabilities}}$

Return on Sales = $\frac{\text{Net income}}{\text{Net sales}}$ x 100

Assets turn over ratio = $\frac{\text{Net Sales}}{\text{Average Assets}}$ = 50%

Assets turn over ratio shows relative effectiveness of assets utilization

Operating cycle = Inventory sale days (average) + Receivable Collection days (average).

The shorter the operating cycle, the higher the quality of current assets and the greater the efficiency of management.

Total legal capital = preferred + common

Total paid-in-capital = Total legal capital + additional paid-in-capital

Book value per common share = $\frac{\text{Common stock equity}}{\text{Total common share}}$